
A FRAMEWORK FOR LONG-TERM BUSINESS ANALYSIS

42 Principles — Complete Source Tracing
May 2026

"Take a simple idea and take it seriously."

— Charlie Munger

"The goal is not to win. It is to see how wrong you can be and still be right. Margin of safety, moat assessment, conservative DCF modeling, and position sizing are each sequential admissions of fallibility."

Every principle traces to a named primary source. Nothing is invented.
BRK letter attributions verified against published sources. Wesco meeting years are approximate.

Companion to: A Framework for Long-Term Business Analysis · The Analysis Workbook

REFERENCE DOCUMENTS

PRIMARY SOURCES

Berkshire Hathaway Annual Letters 1977–2025

Source: berkshirehathaway.com/letters

The foundational primary source. Principles sourced by year: owner earnings (1986), moat concept (1986, 1987), candor test (1989), time is friend of the wonderful business (1989), margin of safety (1992), concentration (1993), discount rate (1994 meeting), circle of competence (1996), inactivity (1996).

Buffett Partnership Letters 1956–1970

Source: ivey.uwo.ca (PDF)

Pre-Berkshire framework. Earliest articulation of value investing principles including Mr. Market discipline and the evolution from cigar-butt to quality business investing.

Wesco Financial Annual Letters 1983–2011

Source: berkshirehathaway.com/wesco

Munger's independent writing. Principles sourced: agency cost framework (multiple), 25% equity reinvestment standard (2007), income statements are lies / ROIC primacy (2004), cost of activity (1999).

Berkshire Hathaway Annual Meeting Transcripts 1994–Present

Source: buffett.cnbc.com

Unscripted. Highest signal density. Principles sourced: 30-year Treasury as discount rate (1994), competitive position as the monitoring question (2016).

Poor Charlie's Almanack — 11 Talks

Source: press.stripe.com/poor-charlies-almanack

Munger's complete intellectual framework. Principles sourced: inversion / Jacobi (USC 1994), latticework of mental models (USC 1994), mispriced bet (USC 1994), disconfirming evidence / Darwin, man of questionable character, take a simple idea seriously.

Buffett/Munger Joint Letter 2014

Source: berkshirehathaway.com/SpecialLetters

Supplementary. Joint perspective on long-term capital allocation.

SECONDARY SOURCES (half-weight)

The Intelligent Investor — Benjamin Graham

Foundational source for margin of safety (Chapter 20) and Mr. Market (Chapter 8). Buffett absorbed this at Columbia under Graham directly.

Security Analysis — Graham & Dodd, 1934

First articulation of margin of safety as an analytical concept. The theoretical basis Buffett built on.

Seeking Wisdom — Peter Bevelin

Most systematic compilation of Munger's mental model latticework applied to decision-making. Half-weight secondary source.

Wesco Annual Meeting Notes — Whitney Tilson

Source: Search: 'Wesco annual meeting notes Tilson'

Munger's less formal thinking from Wesco meetings. More direct and practical than the written letters. Half-weight secondary source.

The Snowball — Alice Schroeder

Biographical context for Buffett's intellectual evolution — Graham influence, shift from pure cheapness to quality businesses. Half-weight secondary source.

PRINCIPLES 1 – 15 — BUFFETT PRINCIPLES

PRINCIPLE 1 — OWNER EARNINGS FORMULA

SOURCE:

Berkshire Hathaway Annual Letter, 1986

URL: berkshirehathaway.com/letters/1986.html

OE = Net Income + D&A; – Maintenance CapEx The only correct measure of what a business earns for its owners. GAAP earnings systematically overstate economic reality by failing to separate maintenance capex from growth capex. Buffett's exact definition: "Owner earnings represent (a) reported earnings plus (b) depreciation, depletion, amortization, and certain other non-cash charges less (c) the average annual amount of capitalized expenditures for plant and equipment that the business requires to fully maintain its long-term competitive position and its unit volume."

APPLIED IN: Gate 4 — Financial Quality. The base of every DCF computation. Never replaced by adjusted EBITDA or net income alone.

PRINCIPLE 2 — MOAT DURABILITY

SOURCE:

Berkshire Hathaway Annual Letter, 1986

URL: berkshirehathaway.com/letters/1986.html

The competitive advantage of any given company and, above all, the durability of that advantage is what matters. Not the industry's growth rate. Not the revenue trajectory. A business with a durable moat compounds value over time without requiring heroic assumptions.

APPLIED IN: Gate 2 — Moat Identification. The four moat types are each evaluated for durability over 8+ consecutive quarters, not assessed as a single snapshot.

PRINCIPLE 3 — ECONOMIC GOODWILL VS ACCOUNTING GOODWILL

SOURCE:

Berkshire Hathaway Annual Letter, 1987

URL: berkshirehathaway.com/letters/1987.html

Economic goodwill is the durable earnings power of a brand or moat. Unlike physical assets it does not depreciate with time — it compounds as the competitive position strengthens. Accounting goodwill is an artifact of acquisition accounting and tells you nothing about economic reality. This distinction explains why intangible asset moats can persist and grow for decades without additional capital investment.

APPLIED IN: Gate 2 — Intangible Asset Moat. The theoretical basis for why brand moats receive wide or narrow classification rather than automatic skepticism.

PRINCIPLE 4 — CANDOR TEST

SOURCE:

Berkshire Hathaway Annual Letter, 1989

URL: berkshirehathaway.com/letters/1989.html

The ideal annual report is written as if to a single intelligent, long-term partner who deserves to know everything material. Management that buries bad news, uses selective disclosure, or only volunteers unflattering information when legally required fails the candor test. The only candor that matters is candor when the news is bad and disclosure is optional.

APPLIED IN: Gate 3 — Management Integrity, Dimension 1. All evidence must come from primary source filings and earnings transcripts — never IR presentations or press releases.

PRINCIPLE 5 — TIME IS THE FRIEND OF THE WONDERFUL BUSINESS

SOURCE:

Berkshire Hathaway Annual Letter, 1989

URL: berkshirehathaway.com/letters/1989.html

"Time is the friend of the wonderful business, the enemy of the mediocre." A wonderful business held long enough will bail out even a mediocre entry price. A mediocre business held long enough will destroy even a great entry price. This is the theoretical basis for the DCF fade structure.

APPLIED IN: Gate 2 — Moat Classification. Wide moats receive 25 total years (10+15 fade) because time works for them. No-moat businesses receive only 10 years (5+5) because time works against them.

PRINCIPLE 6 — MARGIN OF SAFETY

SOURCE:

Berkshire Hathaway Annual Letter, 1992. Absorbed from Graham's Security Analysis, 1934.

URL: berkshirehathaway.com/letters/1992.html

The margin of safety is always dependent on the price paid. Not merely a discount from intrinsic value — an explicit acknowledgment of the investor's own fallibility in analysis and forecasting. The MOS provides a cushion against errors of fact, analysis, and judgment.

APPLIED IN: Gate 6 — Valuation. Minimum 20% MOS for wide and narrow moat. Minimum 30% for no moat. Maximum buy price = $IV \times (1 - MOS\%)$.

PRINCIPLE 7 — PORTFOLIO CONCENTRATION

SOURCE:

Berkshire Hathaway Annual Letter, 1993

URL: berkshirehathaway.com/letters/1993.html

"We believe that a policy of portfolio concentration may well decrease risk if it raises, as it should, both the intensity with which an investor thinks about a business and the comfort-level he must feel with its economic characteristics before buying into it." Concentration forces rigor at entry and patience during holding.

APPLIED IN: Gate 7 — Position Sizing. The theoretical basis for sizing proportionally to conviction and MOS rather than diversifying indiscriminately. The Kelly Criterion provides the mathematical framework.

PRINCIPLE 8 — 30-YEAR TREASURY AS DISCOUNT RATE

SOURCE:

Berkshire Hathaway Annual Meeting, 1994

URL: buffett.cnbc.com

"I use the 30-year Treasury rate. That's my yardstick." The 30-year Treasury rate is the risk-free rate in the DCF build-up method. Combined with the equity risk premium (5–6%) and company-specific premium (0–2%) to produce WACC. Standard US large-cap quality business: 10.5%.

APPLIED IN: Gate 6 — Valuation, Step 2. Non-USD businesses anchor to the sovereign long-term rate instead and convert to USD only at the final step.

PRINCIPLE 9 — CIRCLE OF COMPETENCE

SOURCE:

Berkshire Hathaway Annual Letter, 1996

URL: berkshirehathaway.com/letters/1996.html

"What an investor needs is the ability to correctly evaluate selected businesses. Note that word selected — you don't have to be an expert on every company or even many. You only have to be able to evaluate companies within your circle of competence. The size of that circle is not very important; knowing its boundaries, however, is vital."

APPLIED IN: Gate 1 — Circle of Competence. The first filter. A failure here stops the analysis entirely. The investor must be able to verify the moat claim independently without relying on management's description.

PRINCIPLE 10 — INACTIVITY AS INTELLIGENT BEHAVIOR

SOURCE:

Berkshire Hathaway Annual Letter, 1996

URL: berkshirehathaway.com/letters/1996.html

"Inactivity strikes us as intelligent behavior." Once the framework is complete and the entry price is met — do nothing. The process is done. The market takes its course. Never sell purely on price decline if the thesis is intact. Never sell because the market disagrees with your analysis.

APPLIED IN: Gate 7 — The Final Rule. The behavioral test of the framework. Price indifference during holding is the direct application of this principle.

PRINCIPLE 11 — PRICE VS VALUE

SOURCE:

Multiple Berkshire Letters 1977–2025. Foundation: Graham's *The Intelligent Investor*, Chapters 8 and 20.

URL: berkshirehathaway.com/letters

The value of any asset is the present value of its future cash flows. Price and value are different things. The investor's job is to find situations where price is materially below value — and then wait for the gap to close. Mr. Market offers prices every day; the investor is never obligated to accept them.

APPLIED IN: Gate 6 — Valuation. The entire DCF methodology. Gate 8 — Reverse DCF applies this from the other direction: what does the current price imply about value?

PRINCIPLE 12 — NEVER LOSE MONEY

SOURCE:

Graham foundation absorbed by Buffett. Stated repeatedly across Berkshire Letters and annual meetings.

URL: berkshirehathaway.com/letters

Rule number one: never lose money. Rule number two: never forget rule number one. The margin of safety provides the cushion against errors of fact, analysis, and judgment. The bear case IV defines the maximum permanent loss scenario if the thesis fails completely.

APPLIED IN: Gate 6 — Margin of Safety. The downside floor built into every entry price calculation.

PRINCIPLE 13 — WONDERFUL BUSINESS AT A FAIR PRICE

SOURCE:

Munger influence on Buffett. Reflected across Berkshire Letters from 1989 onward.

URL: berkshirehathaway.com/letters

A wonderful business at a fair price beats a fair business at a wonderful price. The shift from pure Graham cigar-butt investing — buying anything cheap enough — to buying quality businesses at reasonable prices and holding them as the moat compounds value over time.

APPLIED IN: Gates 1–2 must be passed before valuation is attempted. The DCF confirms a fair price, not manufactures a buy signal.

PRINCIPLE 14 — SBC AS REAL ECONOMIC COST

SOURCE:

Multiple Berkshire Letters. Explicit in Buffett's repeated critique of option accounting and adjusted earnings.

URL: berkshirehathaway.com/letters

Stock-based compensation is a real cost to shareholders through dilution. It is never added back in any calculation. If SBC exceeds 15% of owner earnings, deduct it explicitly before running the DCF. Never use adjusted EBITDA as a proxy.

APPLIED IN: Gate 4 — Financial Quality. Gate 6 — DCF inputs. The 15% threshold is the framework's operational rule for when SBC is material enough to meaningfully distort the owner earnings calculation.

PRINCIPLE 15 — PRIMARY SOURCES ONLY

SOURCE:

Framework discipline derived from Buffett's explicit rejection of Wall Street analyst frameworks.

URL: berkshirehathaway.com/letters

No analyst estimates. No adjusted metrics. No consensus anchoring. All figures pulled directly from 10-K, 10-Q, 20-F, and 6-K filings and earnings call transcripts. Analyst reports are secondary sources and are never used as the basis for financial analysis.

APPLIED IN: Every gate. The foundational data discipline of the entire framework.

PRINCIPLES 16 – 27 — MUNGER PRINCIPLES

PRINCIPLE 16 — INVERSION / JACOBI

SOURCE:

USC Business School Speech, 1994 — 'Worldly Wisdom'. Poor Charlie's Almanack.

URL: press.stripe.com/poor-charlies-almanack

"It is in the nature of things that many hard problems are best solved when they are addressed backwards." Invert, always invert. Derived from mathematician Carl Jacobi's principle. Before asking what makes an investment succeed, ask what would make it fail completely. Eliminate those failure scenarios first.

APPLIED IN: Gate 5 — Inversion (an entire gate devoted to this principle). Gate 8 — Reverse DCF (the valuation question inverted).

PRINCIPLE 17 — LATTICEWORK OF MENTAL MODELS

SOURCE:

USC Business School Speech, 1994 — 'Worldly Wisdom'.

URL: press.stripe.com/poor-charlies-almanack

The investor who understands psychology, mathematics, history, physics, and economics has a more reliable analytical foundation than one who understands only finance. Circle of competence is built across disciplines, not within a single one. Each mental model is a lens that illuminates different aspects of a business.

APPLIED IN: Gate 1 — Circle of Competence. Defines how the circle is built — not as domain expertise in one field but as a latticework of models that allows independent verification of most claims.

PRINCIPLE 18 — MISPRICED BET

SOURCE:

USC Business School Speech, 1994 — 'Worldly Wisdom'.

URL: press.stripe.com/poor-charlies-almanack

"It is not given to human beings to have such talent that they can just know everything about everything all the time. But it is given to human beings who work hard at it — who look and sift the world for a mispriced bet — that they can occasionally find one." The framework exists to find the mispriced bet.

APPLIED IN: Introduction — the purpose of the framework. Once found, the behavioral test is simple: do nothing. The market takes its course.

PRINCIPLE 19 — MAN OF QUESTIONABLE CHARACTER

SOURCE:

Poor Charlie's Almanack — multiple talks.

URL: press.stripe.com/poor-charlies-almanack

The "man of questionable character" is a near-automatic disqualifier. One deliberate deception invalidates the entire investment case regardless of business quality or price. Integrity is a binary filter, not a sliding scale. A single integrity failure disqualifies regardless of the score on competence and alignment.

APPLIED IN: Gate 3 — Management Integrity, Dimension 1. Evaluated before competence and alignment. One FAIL on integrity stops the analysis.

PRINCIPLE 20 — TAKE A SIMPLE IDEA SERIOUSLY

SOURCE:

Poor Charlie's Almanack — multiple talks.

URL: press.stripe.com/poor-charlies-almanack

"Take a simple idea and take it seriously." The simple idea is the owner earnings formula. The serious application is running it on every business from the original filing, without exception, regardless of how familiar or well-understood the business appears.

APPLIED IN: Gate 4 — Financial Quality. The owner earnings formula is non-negotiable. No exceptions.

PRINCIPLE 21 — DISCONFIRMING EVIDENCE / DARWIN

SOURCE:

Poor Charlie's Almanack — multiple talks.

URL: press.stripe.com/poor-charlies-almanack

"I have nothing to add to Darwin's insight about looking hard for disconfirming evidence. The test of a good mind is to hold two opposing ideas simultaneously and still function." Actively seek evidence that the thesis is wrong before committing capital.

APPLIED IN: Gate 5 — Inversion. The foundational instruction behind the entire inversion gate. Every bull case assumption is explicitly tested against its failure scenario.

PRINCIPLE 22 — INCOME STATEMENTS ARE LIES

SOURCE:

Wesco Financial Annual Meeting, approx. 2003–2005 (commonly cited as 2004).

URL: berkshirehathaway.com/wesco

"The fundamental concept is that all income statements are lies — they don't tell you the return on invested capital. What matters is earnings on incremental capital employed." Owner earnings corrects for both distortions: it strips the accounting fiction from D&A; and restores the real cash obligation of maintenance capex that GAAP buries inside a single capital expenditure line.

APPLIED IN: Gate 4 — Financial Quality. The direct justification for why owner earnings replaces GAAP net income as the primary earnings measure in every DCF.

PRINCIPLE 23 — 25% ON EQUITY REINVESTED

SOURCE:

Wesco Financial Annual Meeting, approx. 2006–2008 (commonly cited as 2007).

URL: berkshirehathaway.com/wesco

"The best business is one that earns 25% on equity and keeps reinvesting at those rates. Most businesses don't have those qualities. Finding them is the job." The standard for a genuinely wide moat business. Most businesses cannot reinvest at high rates — their moats are narrow or nonexistent.

APPLIED IN: Gate 4 — ROIC as the primary moat confirmation test. 25%+ ROIC sustained across multiple cycles is the signature of a wide moat.

PRINCIPLE 24 — COST OF ACTIVITY

SOURCE:

Wesco Financial Annual Meeting, approx. 1998–2001 (commonly cited as 1999).

URL: berkshirehathaway.com/wesco

"The reason we don't sell is that we don't think it's so important to move around. There's a cost to activity and we're trying to avoid activity." Unnecessary transactions destroy returns through friction, taxes, and the behavioral errors that accompany frequent decision-making.

APPLIED IN: Gate 7 — Sell discipline. The only valid reasons to sell are a broken thesis, a management integrity failure, a price above intrinsic value, or a materially superior opportunity.

PRINCIPLE 25 — KELLY CRITERION

SOURCE:

Munger has referenced the Kelly Criterion across multiple Wesco and Berkshire meeting appearances.

URL: berkshirehathaway.com/wesco

A mathematical formula for optimal bet sizing that sizes positions proportionally to edge — the ratio of expected gain to expected loss. In practice, fractional Kelly (half or less of the formula output) is used to account for model uncertainty and the real-world consequences of being wrong.

APPLIED IN: Gate 7 — Position Sizing. Wider MOS = larger initial position. The qualitative analog: the more gates a business passes with margin, the larger the appropriate position.

PRINCIPLE 26 — AGENCY COST FRAMEWORK

SOURCE:

Munger — multiple Wesco letters and meeting appearances across the 1983–2011 letter series.

URL: berkshirehathaway.com/wesco

Managers optimising for personal gain at shareholder expense is the default human behavior, not the exception. The investor's job is to find the rare cases where it is not. Identified through compensation structure, capital allocation history, and whether management wealth is genuinely tied to long-term equity performance.

APPLIED IN: Gate 3 — Dimension 3: Alignment. Evaluates whether the agency cost problem has been structurally solved through ownership, compensation design, and demonstrated capital allocation behavior over a full cycle.

PRINCIPLE 27 — CIRCLE AS LATTICEWORK

SOURCE:

USC Business School Speech, 1994 — 'Worldly Wisdom'.

URL: press.stripes.com/poor-charlies-almanack

The circle of competence is not static domain knowledge. It is a latticework of mental models built across disciplines. A narrow circle honestly defined is far more valuable than a wide circle whose boundaries are unknown to the investor.

APPLIED IN: Gate 1 — Circle of Competence. Distinguishes genuine edge from familiarity (using the product) or assumed expertise (working in the industry).

PRINCIPLES 28 – 42 — METHODOLOGY PRINCIPLES

These principles are operational translations of the Buffett and Munger principles above into a replicable analytical process. Each traces to one or more primary source principles through the reasoning they implement.

PRINCIPLE 28 — QUALITATIVE BEFORE QUANTITATIVE

SOURCE:

Framework sequence — implements Principles 2, 9, 13, 19.

TRACES TO: Principles 2, 9, 13, 19

Circle of competence, moat identification, management integrity, and financial quality must all be evaluated before a DCF is built. The DCF is the final confirmation — not the starting point. A DCF on a business you do not understand, run by management you have not evaluated, with a moat you have not verified, is not analysis. It is arithmetic dressed up as conviction.

APPLIED IN: Gates 1–5 must be completed before Gate 6 is reached.

PRINCIPLE 29 — GATE SEQUENCE ENFORCED

SOURCE:

Framework structure — implements Principles 9, 16, 19, 28.

TRACES TO: Principles 9, 16, 19, 28

A failure at any gate stops the analysis entirely. The gates are not a checklist to complete in any order. They are a sequence. Each gate filters out businesses that do not belong in a concentrated long-term portfolio. The sequence reflects the order in which the disqualifying evidence is most efficiently found.

APPLIED IN: The entire framework structure.

PRINCIPLE 30 — THREE GROWTH SCENARIOS

SOURCE:

DCF construction — implements Principles 6, 11, 16.

TRACES TO: Principles 6, 11, 16

Always model bear, base, and bull. Base is consistent with but not optimistic about management guidance. Bear is a plausible adverse cycle. Bull is what happens if the moat widens as theorised. Terminal growth: Bear 2% / Base and Bull 3%. Three scenarios prevent false precision and force the investor to confront the range of outcomes before committing capital.

APPLIED IN: Gate 6 — Valuation, Step 3.

PRINCIPLE 31 — FADE PERIOD MECHANICS

SOURCE:

DCF construction — implements Principles 2, 5.

TRACES TO: Principles 2, 5

Linear interpolation from the year-10 growth rate to the terminal growth rate. Wide moat: 15yr fade. Narrow moat: 10yr fade. No moat: 5yr fade. Reflects the reality that competitive advantages compress over time. No moat lasts forever. The fade structure forces this acknowledgment into every valuation.

APPLIED IN: Gate 6 — Valuation, Steps 3 and 4.

PRINCIPLE 32 — TERMINAL VALUE FORMULA

SOURCE:

DCF construction — implements Principles 8, 11.

TRACES TO: Principles 8, 11

$TV = \text{Final Fade Year OE} \times (1 + TGR) \div (WACC - TGR)$ Terminal $PV = TV \div (1 + WACC)^{\text{final fade year}}$ TGR must always be below WACC. If TGR equals or exceeds WACC the formula produces infinity — a built-in mathematical sanity check that the growth assumption is unrealistic.

APPLIED IN: Gate 6 — Valuation, Step 4.

PRINCIPLE 33 — NON-USD CURRENCY HANDLING

SOURCE:

DCF construction — implements Principle 8.

TRACES TO: Principle 8

Anchor to the relevant sovereign long-term rate, not the US 30-year Treasury. Run the full DCF in the currency of earnings. Convert to USD at the final step only. Never apply a USD discount rate to non-USD earnings — it double-penalises by applying a US risk premium to non-US cash flows.

APPLIED IN: Gate 6 — Valuation, Step 2.

PRINCIPLE 34 — MAINTENANCE CAPEX 65-70%

SOURCE:

Gate 4 — implements Principle 1.

TRACES TO: Principle 1

Capital-intensive businesses: maintenance capex = 65–70% of total capex. Asset-light businesses: 20–30%. If management discloses the split directly in filings, use that figure. These percentages are derived from the empirical pattern of how capital-intensive vs asset-light businesses deploy capital across maintenance and growth over full cycles.

APPLIED IN: Gate 4 — Financial Quality, Step 3.

PRINCIPLE 35 — SBC DEDUCTION RULE >15%

SOURCE:

Gate 4 — implements Principle 14.

TRACES TO: Principle 14

If SBC exceeds 15% of owner earnings, deduct it explicitly from the OE base before running the DCF. Never add back. Never use adjusted EBITDA. The 15% threshold represents the point at which equity dilution is material enough to meaningfully distort the owner earnings calculation.

APPLIED IN: Gate 4 — Financial Quality, Step 5. Gate 6 — DCF inputs.

PRINCIPLE 36 — ROIC >15% AS MOAT CONFIRMATION

SOURCE:

Gate 4 — implements Principles 22, 23.

TRACES TO: Principles 22, 23

Return on incremental capital above 15% is the primary quantitative test for confirming a moat is real. Below the cost of capital means the business is destroying value regardless of revenue or earnings growth. 25%+ sustained across multiple cycles is the signature of a wide moat.

APPLIED IN: Gate 4 — Financial Quality checklist.

PRINCIPLE 37 — REVERSE DCF — TWO QUESTIONS

SOURCE:

Gate 8 — implements Principles 16, 21.

TRACES TO: Principles 16, 21

Question 1: keeping growth rates fixed, what OE base does the current market price imply? Compare against current, trough, and peak OE. Below trough = extreme pessimism baked in. Above peak = heroic assumptions, do not enter. Question 2: keeping the OE base fixed, what year-1 growth rate does the current price imply? Score each across four deceleration profiles: ACHIEVABLE / STRETCHED / HEROIC.

APPLIED IN: Gate 8 — Reverse DCF.

PRINCIPLE 38 — ASYMMETRY RATIO

SOURCE:

Gate 8 — implements Principles 6, 12, 16.

TRACES TO: Principles 6, 12, 16

Asymmetry = Upside (Base IV – Current Price) ÷ Downside (Current Price – Bear IV) Above 3:1 = high conviction entry. 2:1 to 3:1 = acceptable entry. Below 2:1 = no margin of safety, wait. Forces the investor to quantify both directions before committing capital.

APPLIED IN: Gate 8 — Reverse DCF, Section 4.

PRINCIPLE 39 — CATALYST DATE BEFORE ENTRY

SOURCE:

Gate 7 — implements Principles 4, 10.

TRACES TO: Principles 4, 10

The specific filing or earnings release where the thesis-confirming and thesis-breaking metrics will next be visible must be defined before any position is taken. Defines when the investor will next have information to evaluate whether the thesis is intact — and prevents indefinite holding without a defined checkpoint.

APPLIED IN: Gate 7 — Before entry, define and commit in writing.

PRINCIPLE 40 — RERUN TRIGGER >10% OE CHANGE

SOURCE:

Gate 7 — implements Principles 1, 6.

TRACES TO: Principles 1, 6

If intrinsic value changes more than 10% from the DCF base because owner earnings changed materially, rerun Gates 4, 5, and 6 before the next sizing or sell decision. The 10% threshold represents the point at which the MOS calculation is materially affected and the entry price may no longer be valid.

APPLIED IN: Gate 7 — Monitoring cadence. Quarterly Monitoring Scorecard, Section 4.

PRINCIPLE 41 — SENSITIVITY TABLE ACROSS MAJORITY

SOURCE:

Gate 6 — implements Principles 6, 11.

TRACES TO: Principles 6, 11

The investment thesis must hold across the majority of the WACC vs terminal growth rate grid — not just at one specific input combination. If the case only works at one WACC and one terminal rate, the thesis is fragile. Prevents false precision masquerading as conviction. Reflects Buffett's principle: "It is better to be approximately right than precisely wrong."

APPLIED IN: Gate 6 — Valuation, Step 6. DCF Computation Workbook.

PRINCIPLE 42 — INVERSION SCORING D/DS/P/U

SOURCE:

Gate 5 — implements Principles 16, 21.

TRACES TO: Principles 16, 21

Every material inversion risk is scored against primary source evidence: [D] Addressed Directly — on the record, specific answer given [DS] Addressed Structurally — answered with action, not words [P] Partially Addressed — acknowledged but incomplete [U] Unanswered — not raised, not addressed An UNANSWERED score on a mandatory inversion requires explicit written justification to proceed. The most dangerous risks are the ones management has never been asked about and has never volunteered — those are the ones the market has not priced.

APPLIED IN: Gate 5 — Inversion, Steps B/C/D. Inversion Workbook.

SUMMARY — 42 PRINCIPLES BY SOURCE

BERKSHIRE HATHAWAY ANNUAL LETTERS (1986–1996)

1986	1. Owner Earnings Formula · 2. Moat Durability
1987	3. Economic Goodwill vs Accounting Goodwill
1989	4. Candor Test · 5. Time is the Friend of the Wonderful Business
1992	6. Margin of Safety
1993	7. Portfolio Concentration
1996	9. Circle of Competence · 10. Inactivity as Intelligent Behavior
Multiple	11. Price vs Value · 14. SBC as Real Economic Cost · 15. Primary Sources Only

BERKSHIRE HATHAWAY ANNUAL MEETINGS

1994	8. 30-Year Treasury as Discount Rate
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GRAHAM FOUNDATION (absorbed by Buffett)

Graham	12. Never Lose Money
Graham + Munger	13. Wonderful Business at a Fair Price

POOR CHARLIE'S ALMANACK — USC 1994 'WORLDLY WISDOM'

USC 1994	16. Inversion / Jacobi · 17. Latticework of Mental Models
USC 1994	18. Mispriced Bet · 27. Circle as Latticework

POOR CHARLIE'S ALMANACK — MULTIPLE TALKS

PCA	19. Man of Questionable Character · 20. Take a Simple Idea Seriously
PCA	21. Disconfirming Evidence / Darwin

WESCO FINANCIAL ANNUAL MEETINGS

1999	24. Cost of Activity
2004	22. Income Statements are Lies
2007	23. 25% on Equity Reinvested

MUNGER — MULTIPLE SOURCES

Multiple	25. Kelly Criterion · 26. Agency Cost Framework
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METHODOLOGY — OPERATIONAL TRANSLATIONS

Traces to: 2,9,13,19	28. Qualitative Before Quantitative
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Traces to: 9,16,19,28	29. Gate Sequence Enforced
Traces to: 6,11,16	30. Three Growth Scenarios
Traces to: 2,5	31. Fade Period Mechanics
Traces to: 8,11	32. Terminal Value Formula
Traces to: 8	33. Non-USD Currency Handling
Traces to: 1	34. Maintenance Capex 65-70%
Traces to: 14	35. SBC Deduction Rule >15%
Traces to: 22,23	36. ROIC >15% as Moat Confirmation
Traces to: 16,21	37. Reverse DCF — Two Questions
Traces to: 6,12,16	38. Asymmetry Ratio
Traces to: 4,10	39. Catalyst Date Before Entry
Traces to: 1,6	40. Rerun Trigger >10% OE Change
Traces to: 6,11	41. Sensitivity Table Across Majority
Traces to: 16,21	42. Inversion Scoring D/DS/P/U

Buffett principles:	15 (sourced 1986–1996 BRK Letters and 1994 Annual Meeting)
Munger principles:	12 (sourced USC 1994, Poor Charlie's Almanack, Wesco 1999–2007)
Methodology principles:	15 (operational translations of above)
TOTAL:	42 6 primary source documents 5 secondary source documents

"The goal is not to win. It is to see how wrong you can be and still be right. Margin of safety, moat assessment, conservative DCF modeling, and position sizing are each sequential admissions of fallibility."

A Framework for Long-Term Business Analysis — 42 Principles — May 2026